Week 1 Assignment: Accounting Foundations

Modules 1–4 of the Learning Roadmap · Mon 2 Nov – Fri 6 Nov 2026 · Review: Sat 7 Nov, 10:00

> **Goal for the week:** take one small business through a full month of books, from the first entry to a closed month. By Friday you should be able to explain every number you produce.
> **How:** one practice case (Annapurna Stationers, below) runs all week. Each day you learn a concept, then apply it to the case. Use Excel or Google Sheets, one workbook with one tab per deliverable. Leave GST out this week; it starts in Week 3.

The modules

#	Module	What you need to know by Friday
1	Accounting Fundamentals	Debit/credit, journal, ledger, trial balance, accruals, provisions, depreciation
2	Bookkeeping	Purchases, sales, expenses, receivables, payables, inventory, advances
3	Bank Reconciliation	Matching the bank book to the bank statement and explaining every difference
4	Month-End Closing	Closing checklist, provisions, depreciation, outstanding and prepaid items, reconciliations

Day-by-day plan

Day 1 · Mon 2 Nov · Double entry and the journal (Module 1)

Learn: the accounting equation (Assets = Liabilities + Capital); types of accounts; the debit/credit rules; what a journal entry is and how to write a narration.
Do: write a journal entry for each of the 17 October transactions of Annapurna Stationers (Tab: *Journal*). Columns: Date | Particulars (Dr / Cr) | Debit ₹ | Credit ₹ | Narration.
Check yourself: total debits = total credits.

Day 2 · Tue 3 Nov · Ledger, trial balance, accruals, provisions, depreciation (Module 1)

Learn: posting from the journal to the ledger; balancing an account; trial balance; the accrual concept (record income or expense when it is earned or incurred, not when cash moves); provisions; depreciation (straight line vs written-down value).
Do: post every journal entry to ledger accounts and balance them (Tab: *Ledgers*). Then prepare an **unadjusted trial balance** as on 31 Oct (Tab: *TB*).
Short answers (Tab: *Notes*): (a) Why is unpaid October salary an October expense? (b) Calculate a full year of depreciation on the furniture under SLM at 10% and under WDV at 15%. Which method gives the higher figure in year 1, and which in year 5?

Day 3 · Wed 4 Nov · Bookkeeping in practice (Module 2)

Learn: voucher types (payment, receipt, sales, purchase, journal, contra); debtors and creditors; an advance to a supplier vs a purchase; how inventory is tracked (opening + purchases − cost of goods sold = closing).
Do:

1. Tag each transaction with its voucher type (add a column to *Journal*).
2. Build a **debtors list** and a **creditors list** with balances as on 31 Oct (Tab: *Parties*).
3. Set up a **dummy client folder** for Annapurna (see the folder structure at the end) and file your workbook in it.

Short answer: Is the ₹15,000 paid to Mehta Traders an expense? Where does it sit in the books, and why?

Day 4 · Thu 5 Nov · Bank reconciliation (Module 3)

Learn: why the bank book and the bank statement never match on the same day; cheques issued but not presented; cheques deposited but not cleared; items that only the bank knows about (charges, interest, direct receipts).
Do: compare your bank ledger with the bank statement given below, line by line. Then:

1. Prepare a **Bank Reconciliation Statement** as on 31 Oct (Tab: *BRS*).
2. Pass journal entries for the items that are in the statement but not in the books, and update the bank ledger.
3. Show that the corrected bank book balance plus or minus the timing items equals the statement balance.

Day 5 · Fri 6 Nov · Month-end closing (Module 4)

Learn: why a month is "closed"; the closing checklist; outstanding expenses, prepaid expenses, depreciation, provision for doubtful debts, closing stock.
Do:

1. Write your own **month-end closing checklist** of at least 10 steps (Tab: *Checklist*), and tick it off as you close October.
2. Pass the **adjusting entries** listed below (Tab: *Adjustments*).
3. Prepare an **adjusted trial balance** as on 31 Oct (Tab: *Adjusted TB*).
4. *Stretch goal:* a simple trading and P&L account for October and a balance sheet as on 31 Oct.

Submit by Fri 6 Nov, 7 pm: the workbook in the group, plus a 5-line note: what was easy, what was hard, and your open questions.

Sat 7 Nov · 10:00 review

Walk through your trial balance and BRS in 10 minutes, then we go through doubts and set Week 2 (financial statements and analysis).

Practice case: Annapurna Stationers (fictional)

A small stationery trading shop that starts business on 1 Oct 2026. The owner is Mr. Rao. Ignore GST. All amounts are in ₹.

October 2026 transactions

#	Date	Transaction	Amount
1	1 Oct	Mr. Rao brings capital into the business bank account	5,00,000
2	2 Oct	Buys shop furniture, paid by bank	60,000
3	3 Oct	Buys goods on credit from Ravi Distributors	1,20,000
4	5 Oct	Cash sales for the first week	45,000
5	7 Oct	Sells goods on credit to Kiran Enterprises	80,000
6	8 Oct	Pays October shop rent by bank	25,000
7	10 Oct	Pays an advance by bank to Mehta Traders for goods to be delivered in November	15,000
8	12 Oct	Receives a cheque from Kiran Enterprises and deposits it the same day	50,000
9	14 Oct	Pays Ravi Distributors by NEFT	70,000
10	15 Oct	Deposits cash into the bank	30,000
11	18 Oct	Sells goods on credit to Anand Stores	45,000
12	22 Oct	Buys goods for cash	10,000
13	25 Oct	Receives the October electricity bill, due 5 Nov (not paid yet)	4,500
14	26 Oct	Pays a 12-month shop insurance premium by bank (cover: 1 Nov 2026 – 31 Oct 2027)	12,000
15	30 Oct	Issues a cheque to Ravi Distributors	20,000
16	31 Oct	Receives a cheque from Anand Stores and deposits it	25,000
17	31 Oct	October salary for the shop assistant, payable on 5 Nov	30,000

Transactions 18–20 are the bank-only items you find on Day 4 (charges, interest and the UPI receipt below). Add them to your journal after the BRS.

Bank statement, October 2026 (current account)

Date	Description	Withdrawal	Deposit	Balance
1 Oct	Cash/transfer: capital, Mr. Rao		5,00,000	5,00,000
2 Oct	NEFT: furniture vendor	60,000		4,40,000
8 Oct	NEFT: shop rent	25,000		4,15,000
10 Oct	NEFT: Mehta Traders	15,000		4,00,000
13 Oct	Cheque clearing: Kiran Enterprises		50,000	4,50,000
14 Oct	NEFT: Ravi Distributors	70,000		3,80,000
15 Oct	Cash deposit		30,000	4,10,000
26 Oct	NEFT: insurance premium	12,000		3,98,000

28 Oct	Bank charges	350		3,97,650
29 Oct	Interest credited		420	3,98,070
30 Oct	UPI receipt: Kiran Enterprises		10,000	4,08,070
Closing balance, 31 Oct				**4,08,070**

Month-end information (for Day 5)

- Depreciation on furniture: 10% a year, straight line. Charge one month for October.
- Closing stock on 31 Oct, counted at cost: ₹25,000.
- Provision for doubtful debts: 5% of debtors as on 31 Oct (after the UPI receipt).
- Outstanding at month-end: October salary and the electricity bill.
- Insurance: the whole premium covers November onwards, so none of it is an October expense.

Dummy client folder structure

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Annapurna Stationers/
  01 KYC and onboarding/
  02 Books/2026-10/     ← your workbook goes here
  03 Bank/2026-10/     ← bank statement + BRS
  04 Compliance/       ← empty for now (GST, TDS later)
  05 Reports/          ← month-end checklist, P&L, BS
  06 Notes and queries/
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Study material

- ICAI CA Foundation, Paper 1 "Accounting" study material (free on the ICAI BoS portal): chapters on the theoretical framework, journal, ledger, trial balance, depreciation, bank reconciliation, and rectification of errors.
- YouTube or any textbook explanation is fine, as long as you can explain it back in your own words.

Ground rules

- Each evening, send one line in the group: what you finished and any doubt.
- If you are stuck for more than 30 minutes, ask. Don't wait for Saturday.
- Show your working. A wrong answer with clear working is better than a right answer you can't explain.